



‘SMALL IS BEAUTIFUL’ or ‘the bigger the better’—which one do you think has the best value?

Now, imagine the possibility of purchasing a product that has grown to a very large size but still centres around things that are deemed small.

That’s the realm of small-cap funds, which invest primarily in small-cap stocks. Though these stocks are considered small in terms of market capitalisation, such has been the investor appetite for them that a few funds in the segment have become so large that deploying investor money has become a problem, forcing some fund managers to temporarily halt new subscriptions.

To understand why that is the case we need to first tackle a frequently asked question that always surfaces when the benchmark indices scale record highs: What is the outlook on the small-cap universe of stocks, especially when the small-cap barometer has outpaced the benchmarks, the S&P BSE Sensex and the broader Nifty 50? A bunch of fund managers reckon the recent rally and the resulting surge in valuations demand that they take a breather in

terms of putting more money into such stocks that often encounter liquidity problems during hefty buy or sell orders.

Consider this: While the Sensex has gained 9.45 per cent so far in 2023, the S&P BSE SmallCap index has rallied 17.50 per cent through July 17. Interestingly, this comes on the back of a 1.80 per cent fall in the small-cap index in 2022, when the Sensex rose nearly 4.5 per cent.

This is noteworthy because many market watchers believe that a sharp increase in the value of small-cap stocks indicates that the rally is nearing its end, even though the Indian stock market is currently receiving strong support in the form of inflows from both foreign and domestic institutional investors.

Now, let’s talk about small-cap mutual fund schemes.

The amount of fresh money pouring into these schemes has reached record highs in the recent past. According to data from the Association of Mutual Funds in India (AMFI), net inflows in small-cap funds hit an all-time high of ₹5,472 crore in June, up from ₹3,282 crore in May, while popular equity categories like large-cap funds, flexi-cap funds, equity-linked savings schemes (ELSS)

and focussed funds witnessed net outflows during the same period.

Additionally, small-cap funds received cumulative fresh flows of slightly more than ₹29,500 crore in the 12 months till June 2023, which was again much higher than all other categories of equity schemes. However, that is just one side of the story.

At least two major fund houses, Nippon India Mutual Fund and Tata Mutual Fund, have stopped accepting fresh lump sum investments in their respective small-cap schemes. The reason cited is the huge run-up in the prices of most small-cap stocks that has made their valuations soar, causing fund managers to worry that they are becoming locked in a vicious spiral.

A VICIOUS CYCLE

Low liquidity is a common problem for small-cap stocks, making it challenging for institutional investors like mutual funds (MFs) to buy large quantities of shares. Even if the required quantity is available, a huge order could drive up the price, making the acquisition prohibitively expensive. And, large schemes usually have substantial purchase requirements. Compared to Tata Small Cap Fund’s assets under management (AUM) of nearly ₹5,250 crore, Nippon India Small Cap Fund’s AUM is around ₹32,000 crore. Both plans are no longer accepting fresh money through the lump sum route, but they continue to honour current systematic investment plans (SIPs).

“The step was warranted given the recent sharp rally in the small-cap space and increasing investor participation through high-ticket investments. We thought it is in the best long-term interest of investors in the fund